undeniable that such strategy might work; money spent bears no fruit (except the enjoyment of the spender). But the benefits promised in the book seem grossly overstated. A finer read of their thesis reveals that their sample includes a double dose of survivorship bias. In other words, it has two compounding flaws.

VISIBILITY WINNERS

The first bias comes from the fact that the rich people selected for their sample are among the lucky monkeys on typewriters. The authors made no attempt to correct their statistics with the fact that they saw only the winners. They make no mention of the "accumulators" who have accumulated the wrong things (members of my family are experts on that; those who accumulated managed to accumulate currencies about to be devalued and stocks of companies that later went bust). Nowhere do we see a mention of the fact that some people were lucky enough to have invested in the winners; these people no doubt would make their way into the book. There is a way to take care of the bias: lower the wealth of your average millionaire by, say, 50%, on the grounds that the bias causes the average net worth of the observed millionaire to be higher by such amount (it consists in adding the effect of the losers into the pot). It would certainly modify the conclusion.

IT'S A BULL MARKET

As to the second, more serious flaw, I have already discussed the problem of induction. The story focuses on an unusual episode in history; buying its thesis implies accepting that the current returns in asset values are permanent (the sort of belief that prevailed before the great crash that started in 1929). Remember that asset prices have (still at the time of writing) witnessed the greatest bull market in history and that values did compound astronomically during the past two decades. A dollar invested in the average stock would have grown almost twenty-fold since 1982 – and that is the average stock. The sample might include people who invested in stocks performing better than average.

Virtually all of the subjects became rich from asset price inflation, in other words from the recent inflation in financial paper and assets that started in 1982. An investor who engaged in the same strategy during less august days for the market would certainly have a different story to tell. Imagine the book being written in 1982, after the prolonged erosion of the inflation-adjusted value of the stocks, or in 1935, after the loss of interest in the stock market.

Or consider that the United States stock market is not the only investment vehicle. Consider the fate of those who, in place of spending their money buying expensive toys and paying for ski trips, bought Lebanese lira denominated Treasury bills (as my grandfather did), or junk bonds from Michael Milken (as many of my colleagues in the 1980s did). Go back in history and imagine the accumulator buying Russian Imperial bonds bearing the signature of Czar Nicholas II and trying to accumulate further by cashing them from the Soviet government, or Argentine real estate in the 1930s (as my great grandfather did).

The mistake of ignoring the survivorship bias is chronic, even (or perhaps especially) among professionals. How? Because we are trained to take advantage of the information that is lying in front of our eyes, ignoring the information that we do not see.

A brief summing up at this point: I showed how we tend to mistake one realization among all possible random histories as the most representative one, forgetting that there may be others. In a nutshell, the survivorship bias implies that *the highest performing realization will be the most visible.* Why? Because the losers do not show up.

A Guru's Opinion

The fund management industry is populated with gurus. Clearly, the field is randomness-laden and the guru is going to fall into a trap, particularly if he has no proper training in inference. At the time of writing, there is one such guru who developed the very unfortunate habit of writing books on the subject. Along with one of his peers, he